

Rotation, Not Retreat

S&P 500 -0.27% as the AI semiconductor complex hands back Thursday's leadership on a reported OpenAI IPO delay. VIX -2.91% to 18.34. Healthcare and the crypto-equity names absorb the rotation as the broad tape holds.

THE SESSION

Friday answered the morning's open question, and the answer was a rotation rather than a retreat. The chip cohort that reclaimed leadership Thursday on the memory through-print gave it back nearly in full: the spark this time was a reported plan by OpenAI to delay its public listing to 2027 rather than accept a valuation below the trillion-dollar mark, a headline that prompted the market to re-examine how durable the AI build-out's spending commitments really are. The S&P 500 eased to 7,337.81 (-0.27%), the Nasdaq to 25,206.57 (-0.60%), while the Dow held near flat at 51,876.11 (-0.09%) and the Russell 2000 edged higher to 3,010.08 (+0.07%).

The internals told the more useful story. This was not broad distribution — the VIX actually fell 2.91% to 18.34, gold firmed to \$4,086, and breadth outside of semiconductors was constructive. Capital rotated out of the most richly valued AI names and into the parts of the market that had been left behind: healthcare, payroll and insurance defensives, and — in a notable reversal of recent weeks — the crypto-equity complex, which firmed even as spot bitcoin sat quietly near \$59,600. When the leadership reverses but the index holds and volatility recedes, the tape is reallocating, not abandoning.

For the committee, the read is straightforward. The two strategies finished modestly lower — Dividend Strategy -0.31%, Growth Portfolio -1.14% — with the gap explained almost entirely by the Growth sleeve's heavier semiconductor weighting. The same names that flattered the book on Thursday weighed on it Friday. That is the nature of owning the leaders of a powerful theme: the ride is rarely linear, and a session that re-rates the speculative roadmap names is not the same as one that questions the underlying demand.

IOWN Tactical: A rotation that leaves the index intact and volatility lower is the market doing our diversification work for us. We own the businesses, not the daily tape — and the dividend sleeve's defensives did exactly what they are meant to do.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

HOOD +5.58% GROWTH PORTFOLIO

Rebounded after the midweek Meta-competition scare as record prediction-market volume — led by World Cup event contracts — reaffirmed the platform's fastest-growing revenue line.

SYK +5.25% DIVIDEND STRATEGY

Led the dividend sleeve as capital rotated into defensive healthcare; the medtech and orthopedic-robotics franchise drew flows out of the AI complex.

MARA +4.75% GROWTH PORTFOLIO

Bitcoin-miner cohort firmed alongside the broader crypto-equity bid even with spot bitcoin quiet near \$59,600.

COIN +4.59% GROWTH PORTFOLIO

Crypto-equity strength carried the exchange higher; management moved to quell unfounded investigation rumors around an affiliated treasury vehicle.

HUT +4.54% GROWTH PORTFOLIO

Joined the miner and compute-infrastructure rally as the digital-asset equity complex outperformed the spot token.

HRMY +3.93% GROWTH PORTFOLIO

Rode the day's biopharma and healthcare bid as investors reached for non-AI growth.

ADP +3.35% DIVIDEND STRATEGY

Payroll-services defensive caught a steady bid in the rotation toward stable cash-generative businesses.

ETHA +1.28% DIGITAL ASSET ETF

The ether sleeve firmed with the crypto-equity tape; IBIT (+0.98%) also closed higher.

DECLINERS

CRDO -11.20% GROWTH PORTFOLIO

The high-beta AI-connectivity name gave back the most after a roughly 195% twelve-month run left valuation stretched into the AI reassessment.

KEYS -8.72% GROWTH PORTFOLIO

Electronics test-and-measurement swept up in the semiconductor pullback as AI-capex sentiment cooled.

QCOM -7.57% DIVIDEND STRATEGY

The post-investor-day pop fully unwound as the market reweighted a \$15B data-center roadmap whose chips do not yet ship.

ADI -7.42%

DIVIDEND STRATEGY

Analog Devices fell with the broad chip complex on the AI-valuation reset.

NXPI -7.24%

GROWTH PORTFOLIO

Auto and industrial semiconductors were pulled lower with the sector despite no company-specific news.

LRCX -5.66%

DIVIDEND STRATEGY

Memory-equipment leader reversed Thursday's sharp gain as the through-print trade gave way to demand questions.

CAT -5.63%

DIVIDEND STRATEGY

Profit-taking unwound Thursday's Texas-manufacturing pop; no fresh negative catalyst.

MRVL -5.15%

GROWTH PORTFOLIO

AI-silicon name pressured by renewed gross-margin and valuation scrutiny amid the sector reset.

HOLDINGS NEWS

Qualcomm (Dividend Strategy). Wednesday's investor day framed an ambitious pivot — more than \$15 billion in data-center AI chip sales targeted by fiscal 2029 and a \$40 billion non-handset revenue goal, with Meta and Microsoft named as early CPU customers. Shares spiked as much as 13–15% after hours, then surrendered the move over Thursday and Friday as investors noted the data-center silicon underpinning the target does not ship until 2028. The stock closed Friday at \$189.39 (–7.57%). The roadmap is credible; the timeline simply leaves room for the market to re-underwrite it on risk-off days like this one.

Devon Energy (Dividend Strategy). Reports that Toms Capital has built a top-five stake open a potential value-realization track — asset sales, accelerated capital return, or portfolio reshaping are the usual activist levers. DVN closed at \$42.21 (–0.92%) in a quiet energy tape. We will watch for a formal engagement letter or strategic-review headline as the next catalyst.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT ONE

–0.31%

vs. DVY +0.75% | SPY –0.59%

GROWTH PORTFOLIO

✗ TRAIL

–1.14%

vs. IUSG –0.56%

YEAR-TO-DATE

Dividend +14.77% vs DVY +12.06% / SPY +7.05%

Growth +18.98% vs IUSG +8.26%